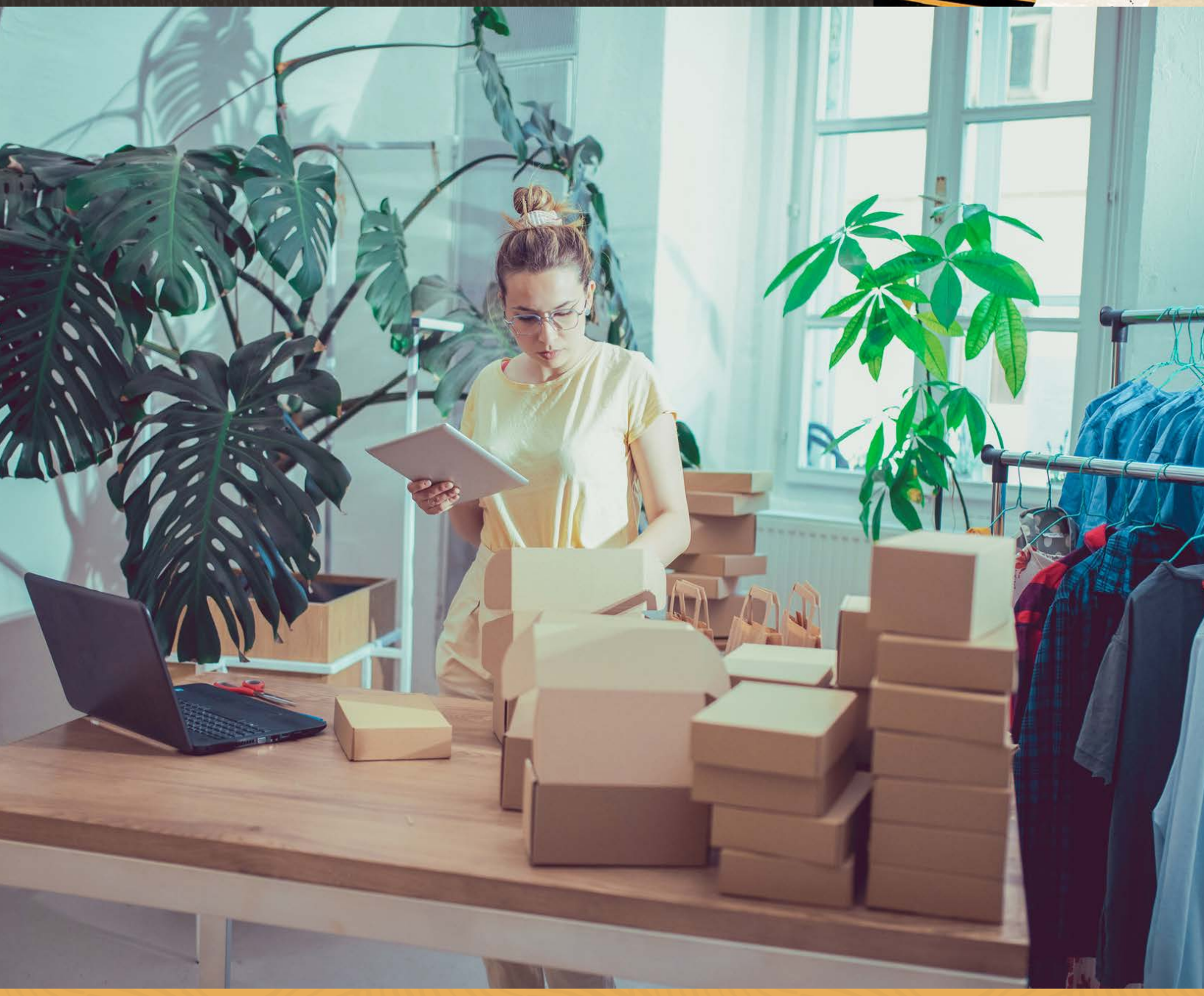
BUSINESS GUIDE

Cloud ERP Drives Sales and Profits for Ecommerce and Brick-and-Mortar Specialty Retailers



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Cloud ERP Drives Sales and Profits for Ecommerce and Brick-and-Mortar Specialty Retailers

Global retail ecommerce sales increased by 25.7% in 2020 and continue to climb as more B2C and B2B customers get comfortable buying goods online and more merchants work to accommodate the shift. With ecommerce sales reaching $4.2 trillion last year, they're now expected to grow by another 16.8% and hit $4.9 trillion in 2021.

Through ecommerce's rise, certain large retailers have made up the lion's share of online transactions. However, more than 150,000 specialty stores in the U.S. alone—a number that grows by about 2% annually—have also been claiming their share of ecommerce sales. Some operate brick-and-mortar stores, some are ecommerce-only and others also run wholesale distribution operations that serve B2B buyers.

In most cases, these growing retailers rely on aging, disparate technology systems that don't provide the operational visibility, performance reports or other insights needed to make informed decisions. These gaps can translate into significant financial losses for specialty retailers that are running multifaceted, global operations. A cloud-based Enterprise Resource Planning (ERP) platform and an experienced implementation partner can help retailers work through these challenges, win more sales and boost their profits.

The Pains of Proprietary Systems and Manual Processes

The pandemic may have accelerated the growth of ecommerce, but the push to provide a virtual, hassle-free shopping experience for customers is likely to continue.

Knowing this, many sellers of gifts, novelties, home goods, accessories and other specialty products have added online storefronts to their current brick-and-mortar channels or started entirely new, online-only businesses. Many work with third-party logistics (3PL) providers that manage order fulfillment, shipping, delivery and/or returns. Those 3PLs have their own technology systems (e.g. for warehouse management, order management and transportation management) that typically don't integrate with the specialty retailer's legacy systems, disparate software and Excel spreadsheets.

"A lot of retailers are using proprietary ERP systems, QuickBooks, Zoho Inventory/Zoho Books or just spreadsheets," said Mostafa Gamal, Professional Services Manager at Haya Solutions, Inc., a NetSuite Alliance Partner. "As a result, they deal with issues like slow order processing, zero integration across systems, no connectivity with their 3PLs and no single system for processing online and offline orders. These issues slow their businesses down and wind up costing them money."

A retailer that's using QuickBooks' online version, for example, can't connect its inventory management function to its financials. As a workaround, it will use an add-on application like Zoho Inventory, which has limitations when it comes to inventory costing, handling multiple units of measure and managing value-added processes like kitting and assembly.

> "It takes a lot of people to manage inefficient processes and that can dramatically increase the cost of doing business. In many cases, our customers realize that what they were doing with six people they can now do with just two thanks to NetSuite."
>
> Mostafa Gamal, Professional Services Manager, Haya Solutions Inc.

With so many different systems in place, retailers also wind up having to do a lot of manual data entry. If an employee enters the incorrect information on an invoice, it can take the accounting team a week or more to identify and fix the problem. In a sector where high order volumes are commonplace, even minor errors can compound quickly and significantly impact the operation's bottom line.

For companies using spreadsheets to run their operations, the challenges are even greater. Most of their Excel files are huge, according to Gamal, and can't be readily shared with other systems without having to be converted to .CSV files and then imported to those platforms. This creates significant visibility gaps for managers and owners that need to know how their companies are performing and whether they're profitable.

"This lack of visibility is a big pain point, particularly at the leadership level, where CEOs may assume their operations are making money when they're really not," said Gamal, noting that Haya Solutions has helped several different specialty retailers overcome this challenge by implementing NetSuite. The ERP software has helped these companies reduce overhead and minimize their operational costs.

A System Aligned With Retail's Needs

Knowing that most of its customers have unique business requirements, Haya Solutions takes a grassroots approach to ERP implementation by first learning everything it can about the specialty retailer's challenges and overall business goals. It uses the latter to develop a customized implementation approach focused on helping the company in question achieve those goals.

Along the way, Haya Solutions provides the customizations, technical expertise and support that retailers need to be able to fully optimize NetSuite. "We start by building the customizations for the customers," said Adam Mostafa, CEO at Haya Solutions, "and then we provide the implementation support that they need to be able to optimize the functionality."

For example, Haya Solutions has helped retail customers improve their shipping calculation management—a core requirement for any company whose buyers span the globe. For one retailer in particular, it developed a customized sales order process that identifies the correct shipping codes and drops them directly into the ERP system. This is important because DHL, FedEx and UPS integrations focus only on negotiated prices and those provided to shippers online. This retailer was working with different freight rates according to the country or province that the goods were shipping to.

"This wasn't your usual shipping integration and now it's something that we can do for any retailer that's in the same position," said Mostafa. Haya Solutions will also tweak a retailer's existing ecommerce platform interfaces to ensure a direct

integration with NetSuite. It has helped numerous companies implement SuiteCommerce Advanced (SCA) and related customizations (e.g. a room visualizer that a home improvement retailer is using to show customers what their flooring will look like in their homes or offices).

Depending on the size and scope of the implementation, Haya Solutions helps its customers get up and running on NetSuite within 30-120 days and then phases-in additional customizations and other functionality over time. "We define the implementation requirements and make sure they meet the customer's needs, then we go live on some modules and wait on others," Mostafa explained. "Once everything is running smoothly, we move forward with the other modules and integrate outside applications like Shopify and Zoho as needed."

Moving Orders Around the Globe

With NetSuite and Haya Solutions' customizations in place, specialty retailers begin to see the benefits of their decision fairly quickly. Not only do they have a clear picture of all inventory, but they can also more readily integrate with their 3PL providers' systems to gain complete supply chain visibility as their orders move around the globe. By automating processes and eliminating spreadsheets, retailers can save time and let team members focus on more important projects.

For one retailer, this increased visibility immediately turned up $500,000 in revenue that was lost annually due to poor inventory management. Working with a 3PL provider whose own technology was behind the times, the company had no clue how much it was losing on fulfillment and shipping costs on every order. Once it was able to use NetSuite to track its work orders and view the related profitability, it identified the huge annual financial loss and addressed it by switching 3PL providers.

> "It also gives everyone visibility into the system—something they didn't have before—plus customizable reports for specific individuals within the company. We give retailers the data they need to understand what's going across different business lines and visibility over their entire operations."
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> **Mostafa Gamal, Professional Services Manager, Haya Solutions Inc.**

Haya Solutions Helps Gift Retailer Grow Its Sales by 150%

Seltzer Goods of Asheville, N.C. makes and sells merchandise designed to help and inspire its customers. The company sells its pens, coffee mugs, apparel, home goods and other products online and from a physical location in North Carolina. It sells to both B2C and B2B customers and outsources its inventory management to a 3PL that stores, assembles and ships products to customers.

Up until 2020, Seltzer Goods was using multiple software applications (e.g. osCommerce as an online marketplace and NolaPro for ERP) and doing a lot of manual work to run its business. The applications couldn't "talk" to one another, so the company also needed spreadsheets to move data between systems.

This greatly inhibited operational visibility and control over important data such as cost of sales.

"Our existing technology was wasting our time, efforts and money," said Brian Gold, Co-Founder of Seltzer Goods, who reached out to Haya Solutions for advice on what system to use to run his business on.

"Our existing ERP, NolaPro, was so slow that it took five minutes to save an order," said Gold. The company was also grappling with high error rates and too many redundant tasks, particularly because osCommerce couldn't communicate directly with the ERP system. Employees were forced to repeat tasks and work through multiple steps just to complete an order.

Haya Solutions recommended NetSuite for managing accounting, financials, ordering and inventory. It also suggested NetSuite CRM to manage the company's sales force automation. The latter would support the company's goal of building an online store to manage wholesale and retail sales, both of which would tightly integrate with the ERP and CRM applications.

Haya Solutions also recommended an integration with shipping carriers, which would help Seltzer Goods automatically calculate estimated shipping costs and delivery times. Working with a short go-live implementation timeline of just 30 days, Haya Solutions effectively replaced all of Seltzer Goods' aging and disparate technology systems with NetSuite.

Within 60 days, the company had added two online stores and additional ERP functionality, plus direct integrations with a payment gateway and 3PL provider. Within one year of implementing NetSuite, Seltzer Goods realized a 35% decrease in operational costs, a 20% decrease in inventory costs, a 150% increase in online sales and a 100% increase in offline sales. It also experienced a 60% increase in bottom-line profitability.

Gold credits the ERP and Haya Solutions with helping his company eliminate its operational pain points and achieve these impressive results. "From the early consulting on which system would be best for our business to the full implementation of NetSuite," said Gold, "we received great advice and excellent support from Haya Solutions."

Don't Wait Too Long

With more individuals and businesses now shopping online, specialty retailers need unified business platforms that can be customized to their needs and integrated with other applications. For optimal results and increased efficiencies, these systems should be cloud-based and accessible from anywhere—a requirement that became even more important during the global pandemic and subsequent shutdowns.

The longer retailers keep their aging, disparate technology systems in place, the more their problems will escalate along with the time and cost associated with migrating to a new system.

> "During COVID, it was obvious that if you didn't have a cloud-based business management system like NetSuite, you were pretty much out of business. At that point, any retailer that was considering a move to the cloud and ERP didn't need much further convincing."
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> **Mostafa Gamal, Professional Services Manager, Haya Solutions Inc.**

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